2021

CHIPUNGA FARMS LIMITED

HUMAN RESOURCES POLICY AND PROCEDURE MANUAL

Table of Contents

1. INTRODUCTION 4

CHAPTER 1: PERSONAL CONDUCT 5

1.1. General policy on personal conduct 5

1.2. Dress code policy 5

1.3. Phone calls policy 5

1.4. Internet use policy 5

CHAPTER 2: RECRUITMENT 5

2.1. Policy 6

2.2. Procedure 6

CHAPTER 3: INDUCTION 6

3.1. Policy 7

3.2. Procedure 7

CHAPTER 4: TRAINING 7

3.1. Policy 8

CHAPTER 5: PROBATION 9

3.1. Policy 9

5.2 . Procedure 9

CHAPTER 6: ATTENDANCE, WORKING DAYS AND HOURS 10

6.1. Hours of work 10

6.2. Attendance and punctuality 10

6.3. Flexible working 10

3.1. Overtime and holiday work 10

CHAPTER 7: REMUNERATION 12

7.1. Policy 12

7.2. Salary advance 12

CHAPTER 8: OCCUPATIONAL HEALTH AND SAFETY (OH&S) 13

8.1. Policy 13

8.2. Manual handling policy 14
8.3. Workers' compensation policy 14
8.4. Smoking policy 15
8.5. Alcohol and drugs policy 15
CHAPTER 9: EQUAL EMPLOYMENT OPPORTUNITY (EEO) 16
9.1. Policy 16
9.2. Discrimination, Sexual Harassment and Bullying 16
9.3. Procedure: To make a complaint 18
9.4. Procedure: To receive a complaint 18
9.5. Procedure: To investigate a complaint 19
9.6. Possible outcomes 20
CHAPTER 10: PREGNANCY AT WORK 21
10.1. Advising of pregnancy 21
10.2. Harassment while pregnant 21
10.3. Safety at work 21
CHAPTER 11: LEAVE POLICY 22
11.1. General leave policy 22
11.2. Annual leave policy 22
11.3. Sick leave policy 22
11.4. Compassionate leave policy 23
11.5. Maternity leave policy 23
11.6. Paternity leave policy 24
11.7. Study leave policy 24
11.8. Unpaid leave policy 25
CHAPTER 12: PERFORMANCE MANAGEMENT 26
12.1. Policy 26
12.2. Gross or serious misconduct policy 27
CHAPTER 13: GRIEVANCES 32
13.1. Policy 32

13.2. Procedure 32

CHAPTER 14: CONFLICT OF INTEREST 33

14.1. Policy 33

14.2. Procedure 33

1. INTRODUCTION

The Chipunga Farms Limited (CFL) Human Resources Policy and Procedure Manual provides the policies and procedures for managing and developing staff. It also provides guidelines Chipunga Farms Limited will use to administer these policies, with the correct procedure to follow.

Chipunga Farms Limited shall keep HR policies current and relevant. Therefore, from time to time it will be necessary to modify and amend some sections of the policies and procedures, or to add new procedures.

Any suggestions, recommendations or feedback on the policies and procedures specified in this manual are welcome.

These policies and procedures apply to **all** employees unless expressly stated by this manual.

CHAPTER 1: PERSONAL CONDUCT

1.1. GENERAL POLICY ON PERSONAL CONDUCT

Chipunga Farms Limited expects its employees to maintain a high standard of conduct and work performance to make sure the business maintains its good reputation with customers and suppliers. Good personal conduct contributes to a good work environment for all.

This involves all employees:

1.1.1. observing all policies and procedures

1.1.2. treating colleagues with courtesy and respect

1.1.3. treating customers and clients in a professional manner at all times

1.1.4. working safely at all times

1.2. DRESS CODE POLICY

As a minimum standard, dress should be clean, neat and professional.

Chipunga Farms Limited reserves the right to request an employee to dress to an appropriate standard as a condition of employment.

1.3. PHONE CALLS POLICY

It is expected private phone calls shall be kept to reasonable levels.

1.4. INTERNET USE POLICY

1.4.1. The internet provided by Chipunga Farms Limited is for business use. Limited private use is permitted if the private use does not interfere with a person's work and that inappropriate sites are not accessed e.g. pornographic, gambling. Management has the right to access the system to check if private use is excessive or inappropriate.

1.4.2. Failure to comply with these instructions is an offence and shall be subject to appropriate investigation. In serious cases, the penalty for an offence, or repetition of an offence, may include dismissal.

CHAPTER 2: RECRUITMENT

2.1. POLICY

Chipunga Farms Limited's business always aims to employ the best candidates based on merit and competence.

2.2. PROCEDURE

2.2.1. A simple job description shall be created covering key activities, tasks, skills required, expectations, deliverables and safety considerations. Discriminatory language in adverts will be avoided.

2.2.2. The recruitment process may include some or all of these: an application form, interviews, practical testing, reference checks, and right to work in Malawi checks.

2.2.3. The successful candidate shall be given a letter of appointment setting out clear terms and conditions. This includes the nature of employment e.g. permanent, full-time, part time, and casual. The letter shall include a welcome note and start details.

2.2.4. Once the candidate has accepted, unsuccessful candidates shall be contacted as a matter of courtesy.

CHAPTER 3: INDUCTION

3.1. POLICY

Chipunga Farms Limited shall make sure all new employees feel welcome and are ready to start work safely and competently.

3.2. PROCEDURE

A complete induction plan for each new starter shall include the following details:

3.2.1. Introductions

3.2.2. workplace tour

3.2.3. business overview

3.2.4. who's who

3.2.5. a working safely plan

3.2.6. training plan

3.2.7. IT system orientation

3.2.8. policy and procedural requirements, e.g. equal employment opportunity

CHAPTER 4: TRAINING

3.1. POLICY

3.1.1. Chipunga Farms Limited shall give employees adequate training to do their job safely and competently. Our business believes training is a two-way process. We encourage employees to participate and to highlight any gaps in their own skills or knowledge they believe they have.

3.1.2. Training includes internal on-the-job training, written instructions such as standard operating procedures, coaching, external training and courses. Safety training takes precedence.

CHAPTER 5: PROBATION

5.1. POLICY

5.1.1. Probation is a period of review and appraisal to make sure both the business and the employee are satisfied the role is as advertised and is being performed satisfactorily.

5.1.2. Ongoing permanent employment shall be given only when the employee satisfactorily completes their probation.

5.1.3. The Company shall have 6 months' probation for all straight-out employee and 3 months for those who have been with the Company as interns or volunteers.

5.2 . PROCEDURE

5.2.1. Informal and formal appraisal shall be given during probation period.

5.2.2. Informal and formal appraisal shall be given during probation period.

5.2.3. There shall be final probation appraisal at the end of the probation period, and the employee shall be advised of the result

CHAPTER 6: ATTENDANCE, WORKING DAYS AND HOURS

6.1. HOURS OF WORK

6.1.1. The standard normal working hours per day for employees of Chipunga Farms Limited are 8 hours per day (excluding the lunch break), Monday to Friday, giving a normal working week of 40 hours, only for Security Guards the maximum working hours per week is 48 hours.

6.1.2. The Company's official working hours shall be from 7.30am to 5:00pm, inclusive of one and half hour of lunch break. Working hours shall be subject to modification or adjustment at the discretion of the Company, in accordance with applicable labour laws, rules and regulations and should be detailed by Memos.

6.1.3. It is expected that all employees should maximize the use of their time during office hours.

6.2. ATTENDANCE AND PUNCTUALITY

6.2.1. Punctuality and regular attendance are expected of all employees.

6.2.2. Excessive absences (whether excused or unexcused), tardiness or leaving early is unacceptable.

6.2.3. If an employee is absent for any reason or plans to arrive late or leave early, he/she is expected to notify his/her immediate supervisor as far in advance as possible.

6.3. FLEXIBLE WORKING

Employees may request flexible working arrangements based on parental and carer responsibilities or circumstance. Employees are encouraged to put the request in writing.

Chipunga Farms Limited will consider this request and consider all relevant facts and circumstances in deciding whether or not to agree to the request. Such a request will not be refused unless it is reasonable to do so.

3.1. OVERTIME AND HOLIDAY WORK

No employee shall render overtime work without the prior approval of his/her immediate supervisor. However, in case of exigencies, an employee may be requested to work overtime or during a regular or special holiday or the employee's rest day.

At the sole discretion of the Company's authority, staffs that are required to work additional hours, particularly at week-ends and on Public Holidays may be granted compensatory time off, or additional days annual leave.

CHAPTER 7: REMUNERATION

7.1. POLICY

7.1.1. The employee's remuneration is specified as part of the employment contract and is in relation to his/her position within the Company's salary scale. The amount stated in the contract and in the Company's scale represents a gross salary subject to statutory deductions. Statutory deductions shall be indicated on the employee's monthly pay slip.

7.1.2. All salaries shall be payable on 25th of every month (or the nearest working day);

7.2. SALARY ADVANCE

Salary advance may be granted to an employee to meet emergency financial problems. Such an advance should not exceed half of the monthly basic salary and should be payable in full at the end of the month. Salary Advance shall be approved by the General Manager.

CHAPTER 8: OCCUPATIONAL HEALTH AND SAFETY (OH&S)

8.1. POLICY

Chipunga Farms Limited shall, as far as practicable, provide a safe work environment for the health, safety and welfare of our employees, contractors, visitors and members of the public who may be affected by our work.

To do this, Chipunga Farms Limited shall:

8.1.1. develop and maintain safe systems of work, and a safe working environment

8.1.2. consult with employees and health and safety reps on safety

8.1.3. provide protective clothing and equipment, and enforce its use

8.1.4. provide information and training for employees

8.1.5. assess all risks before work starts on new areas of operation, for example, buying new equipment and setting up new work methods, and regularly review these risks

8.1.6. remove unacceptable risks to safety

8.1.7. provide employees and contractors with adequate facilities (such as clean toilets, cool and clean drinking water, and hygienic eating areas)

8.1.8. Ultimately, everyone at the workplace is responsible for ensuring health and safety at that workplace.

All persons responsible for the work activities of other employees are accountable for:

8.1.9. identifying practices and conditions that could injure employees, clients, members of the public or the environment

8.1.10. controlling such situations or removing the risk to safety. If unable to control such practices and conditions, report these to their manager

8.1.11. making sure workers use personal protective equipment (PPE), training workers to use PPE correctly

8.1.12. Making sure PPE is maintained and working properly

Chipunga Farms Limited demands a positive, proactive attitude and performance with respect to protecting health, safety and the environment by all employees, irrespective of their position.

8.2. MANUAL HANDLING POLICY

8.2.1. It is Chipunga Farms Limited's policy to provide all employees with a safe and healthy workplace by identifying, assessing and controlling manual handling risks.

8.2.2. While management is responsible for the health, safety and welfare of all staff, all employees must report potential and actual manual handling hazards.

8.2.3. Never lift or manually handle items larger or heavier than you can easily support. If you are in any doubt, do not hesitate to ask for help.

8.3. WORKERS' COMPENSATION POLICY

All employees may be eligible for workers' compensation benefits if injured while at work.

8.3.1. Injury procedure

If there is an injury:

- The first priority shall be medical attention. The injured worker or nearest colleague should contact one of Chipunga Farms Limited 's first aiders. For a serious injury also call an ambulance.
- Any employee who is injured on the job, experiences a safety incident or a near miss, must report the incident to their manager.
- The manager must write a report in the Register of Injuries, Incidents and Near Misses. This standard report must include:
    - employee's name and job details
    - time and date of injury
    - exact location the injury/incident occurred
    - how the injury/incident happened

- details of the injury/illness and the part/s of the body injured
- names of any witnesses
- name of the person entering details in the Register
- date the employer was notified

- Chipunga Farms Limited will let the injured employee know in writing that we have received notification of any injury or illness reported in the Register.
- The manager must report serious injuries to Work Safe immediately.

8.4. SMOKING POLICY

Chipunga Farms Limited has a non-smoking policy. Smoking is not permitted on Company's property or in offices at any time.

8.5. ALCOHOL AND DRUGS POLICY

8.5.1. Chipunga Farms Limited is concerned by factors affecting an employee's ability to safely and effectively do their work to a satisfactory standard. The business recognises alcohol or other drug abuse can impair short-term or long-term work performance and is an occupational health and safety risk.

8.5.2. Chipunga Farms Limited will do its utmost to create and maintain a safe, healthy and productive workplace for all employees. The Chipunga Farms Limited has a zero tolerance policy in regards to the use of illicit drugs on their premises or the attending of other business related premises (e.g. clients) while under the influence of illicit drugs. Contravening either of these points may lead to instant dismissal.

8.5.3. Chipunga Farms Limited does not tolerate attending work under the influence of alcohol. This may result in performance improvement action or dismissal.

8.5.4. Chipunga Farms Limited, at times, makes alcohol available to staff over the age of 18. Limiting the consumption of any alcohol made available is the responsibility of the employee. Driving over the legal limit or under the influence of illicit drugs is illegal.

CHAPTER 9: EQUAL EMPLOYMENT OPPORTUNITY (EEO)

9.1. POLICY

9.1.2. This policy shall apply to all staff including contractors and covers all work-related functions and activities including external training courses sponsored by Chipunga Farms Limited.

9.1.3. It also applies for all recruitment, selection and promotion decisions.

9.1.4. The objective of Company's Equal Opportunity Policy is to improve business success by:

- attracting and retaining the best possible employees
- providing a safe, respectful and flexible work environment
- delivering our services in a safe, respectful and reasonably flexible way

9.2. DISCRIMINATION, SEXUAL HARASSMENT AND BULLYING

9.2.2. Chipunga Farms Limited is committed to providing a workplace free from discrimination, sexual harassment and bullying. Behaviour that constitutes discrimination, sexual harassment or bullying will not be tolerated and will lead to action being taken, which may include dismissal.

9.2.3. For the purposes of this policy, the following definitions apply:

Discrimination:

- **Direct discrimination** occurs when someone is treated unfairly and is disadvantaged because of a personal characteristic that is protected under law.
- **Indirect Discrimination** occurs when a rule seems neutral, but has a discriminatory impact on certain people. For example a minimum height requirement of 6 foot for a particular job might be applied equally to men and women, but would indirectly discriminate on the basis of sex, as women tend to be shorter than men.
- **Sexual harassment** includes unwelcome conduct of a sexual nature in circumstances in which a reasonable person, having regard to all the

circumstances, would have anticipated that the person harassed would be offended, humiliated or intimidated.

- **Workplace bullying** may include behaviour that is directed toward an employee, or group of employees, that creates a risk to health and safety e.g. physical and/or verbal abuse, excluding or isolating individuals; or giving impossible tasks.
- Chipunga Farms Limited provides equal opportunity in employment to all suitably able people without discrimination based on a personal characteristic protected under state.
- They include:
    - age
    - breastfeeding
    - disability/impairment
    - employment activity
    - gender identity
    - industrial activity
    - lawful sexual activity
    - marital status
    - parental status
    - personal association with someone having any of these characteristics
    - physical features
    - political activity/belief
    - pregnancy
    - race
    - religious activity/belief

- sex
- sexual orientation

- Any employee found to have contravened this policy shall be subject to disciplinary action, which may include dismissal as outlined in the complaint procedure below.
- Employees must report any behaviour that constitutes sexual harassment, bullying or discrimination to their manager.
- Employees shall not be victimised or treated unfairly for raising an issue or making a complaint.

9.3. PROCEDURE: TO MAKE A COMPLAINT

If you believe you are being, or have been, discriminated against, sexually harassed or bullied, you should follow this procedure.

9.3.2. Tell the offender the behaviour is offensive, unwelcome, and against business policy and should stop (only if you feel comfortable enough to approach them directly, otherwise speak to your manager). Keep a written record of the incident(s).

9.3.3. If the unwelcome behaviour continues, contact your supervisor or manager for support.

9.3.4. If this is inappropriate, you feel uncomfortable, or the behaviour persists, contact another relevant senior manager.

9.3.5. Employees should feel confident that any complaint they make is to be treated as confidential as far as possible.

9.4. PROCEDURE: TO RECEIVE A COMPLAINT

When a manager receives a complaint or becomes aware of an incident that may contravene Company's EEO Policies, they shall follow this procedure.

9.4.2. Listen to the complaint seriously and treat the complaint confidentially. Allow the complainant to bring another person to the interview if they choose to.

9.4.3. Ask the complainant for the full story, including what happened, step by step.

9.4.4. Take notes, using the complainant's own words.

9.4.5. Ask the complainant to check your notes to ensure your record of the conversation is accurate.

9.4.6. Explain and agree on the next action with the complainant.

9.4.7. If investigation is not requested (and the manager is satisfied that the conduct complained is not in breach of Company's EEO policies) then the manager should:

- act promptly
- maintain confidentiality
- pass any notes on to the manager's manager

If an investigation is requested or is appropriate, follow the next procedure.

9.5. PROCEDURE: TO INVESTIGATE A COMPLAINT

When a manager investigates a complaint, they shall follow this procedure.

9.5.2. Do not assume guilt.

9.5.3. Advise on the potential outcomes of the investigation if the allegations are substantiated.

9.5.4. Interview all directly concerned, separately.

9.5.5. Interview witnesses, separately.

9.5.6. Keep records of interviews and the investigation.

9.5.7. Interview the alleged harasser, separately and confidentially and let the alleged harasser know exactly of what they are being accused. Give them a chance to

respond to the accusation. Make it clear they do not have to answer any questions, however, the manager will still make a decision regardless.

9.5.8. Listen carefully and record details.

9.5.9. Ensure confidentiality, minimise disclosure.

9.5.10. Decide on appropriate action based on investigation and evidence collected.

9.5.11. Check to ensure the action meets the needs of the complainant and the Chipunga Farms Limited.

9.5.12. If resolution is not immediately possible, refer the complainant to more senior management. If the resolution needs a more senior manager's authority, refer the complainant to this manager.

9.5.13. Discuss any outcomes affecting the complainant with them to make sure where appropriate you meet their needs.

9.6. POSSIBLE OUTCOMES

If after investigation management finds the complaint is justified, management shall discuss with the complainant the appropriate outcomes which may include:

9.6.1. disciplinary action to be taken against the perpetrator (counselling, warning or dismissal)

9.6.2. staff training

9.6.3. additional training for the perpetrator or all staff, as appropriate

9.6.4. counselling for the complainant

9.6.5. an apology (the particulars of such an apology to be agreed between all involved)

CHAPTER 10: PREGNANCY AT WORK

10.1. ADVISING OF PREGNANCY

10.1.1. Chipunga Farms Limited encourages employees to inform their manager of their pregnancy as soon as possible. However, we respect that an employee may not wish to advise us of her pregnancy earlier than the minimum notice period.

10.1.2. Chipunga Farms Limited also respect an employee's wishes regarding when it is appropriate to tell colleagues about the pregnancy.

10.2. HARASSMENT WHILE PREGNANT

Chipunga Farms Limited is committed to ensuring the safety of pregnant employees and considers harassment, bullying and discrimination to be unacceptable behaviour. *(See the Equal Employment Opportunity policy on page 16 for our general policy and procedure on harassment, bullying and discrimination.)*

10.3. SAFETY AT WORK

10.3.1. Chipunga Farms Limited understands pregnancy to be a healthy and normal process and recognises that women have different experiences. When an employee notifies her manager that she is pregnant, the manager shall ask the employee to let them know if they experience any changes to their work capacity during the pregnancy. The employee and her manager shall then discuss what is needed to keep the employee safe at work and adjustments shall be made accordingly where possible.

10.3.2. Options to reduce hours, change of duties, light duties, rotated tasks, provision of a chair and provision of additional breaks are common ways to ensure safety at work, and shall be considered on a case-by-case basis.

CHAPTER 11: LEAVE POLICY

11.1. GENERAL LEAVE POLICY

11.1.1. Unless specified otherwise, employees referred to in this policy mean permanent full-time or part-time employees.

11.1.2. All employees are entitled to leave in accordance with the relevant awards or agreements and statutory provisions. Where the entitlements or practices in this document conflict, the applicable award, workplace agreement, employment contract or employment law takes precedence.

11.1.3. All planned leave has to be mutually agreed, and take into account workloads and the employee's needs. Leave must be approved in advance, except when the employee can't anticipate the absence. Any documents regarding leave shall be kept on the employee's personnel file.

11.2. ANNUAL LEAVE POLICY

11.2.1. Each employee is entitled to a minimum of 21 days annual leave a year (pro-rata for part-time). Leave entitlements are calculated from the date they started work and accrue in accordance with workplace relations legislation or Malawi Employment Act. Annual leave counts towards continuous service (used when calculating long service leave). Applications for annual leave need to be lodged one week in advance.

11.2.2. In some circumstances, leave in advance of what leave has accrued may be approved. This is conditional on the employee agreeing to the business deducting any advance in the event of termination, or to the employee accepting leave without pay.

11.2.3. Every full-time employee shall be entitled to annual leave grant depending to employee's rank. This shall be determined by the Board of Directors and listed on a schedule.

11.3. SICK LEAVE POLICY

An employee should notify his/her manager as soon as possible if they are unable to attend work due to illness or injury. Management, at its discretion, may request evidence such as

a medical certificate showing that the employee was entitled to take personal leave during the relevant period.

11.4. COMPASSIONATE LEAVE POLICY

11.4.1. The purpose of compassionate leave is to allow employees to attend to family crises including death, illness of a family member or other family issue, care /support for defined and approved dependants.

11.4.2. Each employee is entitled to a period of two days paid compassionate leave for each occasion where a family member has died, or the employee needs to spend time with a seriously ill family member. Additional unpaid leave maybe granted at management discretion.

11.4.3. Casual employees are entitled to two days unpaid compassionate leave for each occasion.

11.5. MATERNITY LEAVE POLICY

11.5.1. A female employee whether married or single shall be eligible for maternity leave and shall be entitled to 90 calendar days with full pay and benefits once every 3 years.

11.5.2. If the new-born dies within 2 years and the employee gives birth to another child, the employee will be entitled to full maternity leave.

11.5.3. Attendance of Antenatal Appointments

All pregnant female employees, whether married or single, shall be granted time off to attend antenatal appointments. Dates and times shall be agreed with the Supervisor who shall also be responsible for the approval of the time offs.

11.5.4. Breast Feeding

A female employee shall be given up to a maximum of 2 hours including lunch time per day in order to go home and breast feed her child for a period of 6 consecutive months after delivery.

11.5.5. Travel with Children

Nursing mothers shall, at their own discretion, be allowed to travel with their kids. The Facility shall, however, not be responsible to pay full cost of travel, accommodation and insurance for the children and a baby-sitter. The Facility shall also not be responsible for anything that may happen to the children and babysitters.

11.5.6. Application for Maternity Leave

A female employee shall give notice to her supervisor of the date she intends to start her maternity leave at least 3 months before the expected date of birth and will complete a leave form prior to proceeding on leave. In the event of a still birth, a female employee will be given ten working days compassionate leave and the maternity leave shall be cancelled.

11.5.7. Commencement of Maternity Leave

A female employee may commence maternity leave at any time from four weeks before the expected date of delivery.

11.6. PATERNITY LEAVE POLICY

After presentation of the birth report, male employees are entitled to 5 working days paternity leave within 7 days after the delivery once every 3 years.

11.7. STUDY LEAVE POLICY

The purpose of study leave is to enable employees to attend approved training programs or sit for examinations within or outside Malawi. Study leave in this case refers to long term study exceeding twelve months. Study leave shall not be accrued if not taken in a particular contract year.

*11.7.1. **Eligibility***

Only those permanent employees who have worked in the Facility for a minimum of three consecutive years shall be entitled to long term study leave.

11.7.2. Application

The following procedures shall apply:

- Employees must complete leave form and submit to the Supervisor;
- No employee should proceed on study leave, until approved by the Responsible Officer;
- The duration of study leave shall not exceed the maximum period of the training programme in question
- All leave shall be recorded.

11.8. UNPAID LEAVE POLICY

The purpose of unpaid leave is to enable employees who are not entitled to any paid leave to attend to some pressing domestic or any other serious personal problems of an urgent nature. The granting of unpaid leave shall be a maximum of 3 months at the discretion of the Management.

CHAPTER 12: PERFORMANCE MANAGEMENT

12.1. POLICY

During the employment period, the immediate supervisor will appraise the employee at the end of probation and in November each year to assess the employee's development opportunity to grow in their work assignment and as a basis for determining the reward and compensation, among others. During this period the immediate supervisor will, together with the employee, review the employee's annual performance and the outcome will determine:

- Renewal of contract for a designated period.
- Eligibility for salary increase depending on the availability of funds
- Non-renewal of contract.

The employee will have an opportunity to appraise himself or herself and, appraise his/her supervisor during the evaluation exercise through comments given on the evaluation form. The employee is therefore encouraged to be open and objective in stating his or her comments on the evaluation form.

The probation and annual appraisals' evaluations shall form part of the employee's personal record.

Performance and meritorious salary increase: Based on the outcome of the annual performance appraisal/evaluation, an employee may be eligible to a performance and or meritorious salary increase as decided by management from time to time.

The purpose of performance management is to improve performance. It is an ongoing process. It should include informal and formal review. We encourage a two-way process, that is, employees can also give management feedback on performance.

All employees shall undergo a formal performance review with their immediate managers at least once a year.

12.1.1. Procedure

- The manager and the employee agree on the date for a performance appraisal meeting to allow time to prepare.

- The manager and employee shall meet and openly and constructively discuss performance over the period.
- The manager and the employee shall agree any objectives and outcomes for the next appraisal period.
- Training and development shall be considered as part of the process.
- Notes should be taken of the meeting and copies kept.
- Outside of this formal process, employees are encouraged to raise any issues they have when they arise.

12.2. GROSS OR SERIOUS MISCONDUCT POLICY

12.2.1. **Termination of employment:** Chipunga Farms Limited shall be entitled to take disciplinary action, progressively, other than dismissal, when it is reasonable to do so considering all circumstances.

12.2.2. A confirmed employee who wishes to terminate his or her employment with Chipunga Farms Limited shall provide 30 days prior written notice. Chipunga Farms Limited shall provide 30 days written notice or cash in lieu thereof where an employee's employment contract is to be terminated.

12.2.3. Provided that an employee's employment contract shall not be terminated unless there is a valid reason for such termination connected with capacity or conduct of the employee or based on the operational requirements of the undertaking and that the employee has been provided an opportunity to defend himself against the allegations made, unless Chipunga Farms Limited shall not reasonably be expected to provide the opportunity. Resignation without reasonable advance notice shall be noted in the employee's personnel record and shall render the employee ineligible for rehire.

12.2.4. *An employee still on probation or on temporary contract with Chipunga Farms Limited shall be entitled to terminate his/her employment at any time during the probationary period without notice. Resignations from probationary recruits or temporary employees tendered during the probationary period shall be considered effective immediately.*

12.2.5. An employee whose employment contract has been terminated before it expires due to operational requirements of the undertaking shall be compensated in compliance with the prevailing Employment Act as amended from time to time.

12.2.6. End of Chipunga Farms Limited: Employees terminated as a result of contract non-renewal due to normal end or closure of Chipunga Farms Limited under which the employee was employed or withdraw of donor funding for a project where ample notice is given, shall be given three months advance notice. All other arrangements shall be made in accordance with the Employment Act.

12.2.7. **Terminal Pay**: Final pay-checks for all terminated employees shall normally be provided with seven days from the date of the termination if such payments are by law to be made by the office

12.2.8. **Termination Date**: An employee's termination date shall mean the employee's last working day and may not be extended for payment of accrued benefit time. Pay out of any eligible unused benefit time will be made in lump sum.

Staff Discipline

12.2.9. An employee of Chipunga Farms Limited is expected to diligently perform their duties as described in the job description and to promote the aims and objectives of Chipunga Farms Limited. An employee will be warned verbally for a maximum of three times in respect of misconduct and if behaviour and/ or performance do not improve as expected or required, the officer will be warned three times in writing before a dismissal is finally considered. Consequently, when a serious misconduct occurs, immediate disciplinary measures shall be undertaken.

12.2.10. Penalties that may be imposed for failure to maintain HR Policy manual or for unsatisfactory or unacceptable behaviour include:

- Summary dismissal with or without payment in lieu of notice
- Dismissal with payment in lieu of notice
- Final Written warning (valid for 6 months)

- Written warning (valid for 6 months)
- Verbal warning (valid for 6 months)

12.2.11. Immediate dismissal of an employee from work may occur due to but not limited to the following misconduct:

- Theft
- Physical violence or threat against another person
- Conduct under the influence of alcohol or drugs on the job
- Fraudulent, deliberately supplying falsified or incorrect / misleading information, or negligent accounting of funds for any purpose
- Unauthorized use or misuse of Chipunga Farms Limited's assets.
- Gross Insubordination
- Falsification of records
- Disclosure of confidential or privileged information without prior authorization,
- Carrying of unauthorized passengers on Chipunga Farms Limited's vehicles.
- Any action not specifically covered by the above reasons but sufficiently grievous to warrant termination and as stipulated in the Employment Act

Disciplinary procedure

12.2.12. Where it is alleged or suspected on reasonable grounds, that an employee is guilty of misconduct or failure to maintain standards, and if it is sufficiently serious (may result in a written warning or dismissal) to justify resorting to formal disciplinary action, the employee's immediate supervisor or a member of management, will initiate the process set out hereunder.

Suspension of employee

12.2.13. Suspension is a precautionary measure that does not constitute judgement. Chipunga Farms Limited may consider without prejudice, suspending an employee with full pay for a period not exceeding 2 months, in case where:

- The employee is alleged to have committed a serious offence

- The presence of the employee in the workplace may have a disruptive effect on the investigations
- The presence of the employee may intimidate witnesses or compromise the interests and assets of Chipunga Farms Limited
- The employee may commit further misconducts

12.2.14. Suspended employees may be requested to report, physically or telephonically to the HR officer on any appointed day to provide the required information. Besides, the employee must remain within a radius of eighty (80) km's of Chipunga Farms Limited , while on suspension. Failure to report or to be available may be construed as absenteeism and the principle of 'no work no pay' may be applied. Suspended employees must ensure that their contact details are current and that they are reachable either by e-mail or phone.

12.2.15. Charges will be developed and communicated to the employee. A written response will be obtained from the employee prior to the hearing meeting. The notice to attend a disciplinary hearing must be given to the employee at least five (5) working days before the date of the disciplinary hearing so that he/she adequately prepares for defence.

12.2.16. During the hearing, the employee will be given full details of the charges against him/ her. The employee will have the right to bring along a colleague or witness. No legal representation will ordinarily be allowed. If need be an interpreter of the employee's language will be allowed at the discretion of the chairperson.

12.2.17. At the conclusion of the hearing, the HR Officer must develop a report with reasons for his/her findings and make recommendations on the appropriate sanction to the General Manager or his/her designate.

12.2.18. Summary (instant) dismissal for gross or very serious misconduct is possible (depending on the facts involved). Management should seek advice before taking this step.

12.3. Procedure

12.3.1. The alleged offence shall be investigated thoroughly, including talking to witnesses, if any.

12.3.2. The accused employee shall be summoned for disciplinary hearing for their response to the allegation (taking notes of this discussion) and allow them to have representation. All parties should be given a chance to bring witnesses

12.3.3. The Disciplinary Hearing team's recommendations shall be forwarded to the managing director for approval of the recommendations.

12.3.4. The manager should keep a file of all evidence collected and action taken in these circumstances.

12.3.5. Chipunga Farms Limited shall send the employee a letter of termination noting brief details.

CHAPTER 13: GRIEVANCES

13.1. POLICY

13.1.1. Chipunga Farms Limited supports the right of every employee to lodge a grievance with their manager if they believe a decision, behaviour or action affecting their employment is unfair. An employee may raise a grievance about any performance improvement action taken against them.

13.1.2. The Company aim to resolve problems and grievances promptly and as close to the source as possible. When necessary, Chipunga Farms Limited shall escalate a grievance to the next higher level of authority for more discussion and resolution, and continue escalating it to the level above until it is resolved.

13.1.3. Managers shall do their utmost to action grievances objectively, discreetly and promptly. Be aware that grievances that are misconceived, vexatious, and lacking substance may result in disciplinary action being taken against the employee lodging the grievance.

13.2. PROCEDURE

13.2.1 The employee should try to resolve the grievance as close to the source as possible. This can be informal and verbal. At this stage, every possible effort should be made to settle a grievance before the formal grievance process starts. If the matter still can't be resolved, the process continues and becomes formal.

13.2.2 To start the formal grievance the complainants must fully describe their grievance in writing, with dates and locations wherever possible and how they have already tried to settle the grievance.

13.2.3 The person(s) against whom the grievance/complaint is made should be given the full details of the allegation(s) against them. They should have the opportunity and a reasonable time to respond before the process continues.

13.2.4 If the grievance still can't be resolved, refer the matter to the most senior manager for consideration and a final decision. A grievance taken to this level must be in writing from the employee.

CHAPTER 14: CONFLICT OF INTEREST

14.1. POLICY

14.1.1. Conflict of interest arises whenever the personal, professional or business interests of an employee are potentially at odds with the best interests of Chipunga Farms Limited.

14.1.2. All employees are required to act in good faith towards the company. Employees need to be aware of the potential for a conflict of interest to arise and should always act in the best interests of Chipunga Farms Limited.

14.1.3. As individuals, employees may have private interests that from time-to-time conflict, or appear to conflict, with their employment with the Chipunga Farms Limited. Employees should aim to avoid being put in a situation where there may be a conflict between the interests of Chipunga Farms Limited and their own personal or professional interests, or those of relatives or friends. Where such a conflict occurs (or is perceived to occur), the interests of the Chipunga Farms Limited shall be balanced against the interests of the staff member and, unless exceptional circumstances exist, resolved in favour of Chipunga Farms Limited

14.1.4. It is impossible to define all potential areas of conflict of interest. If an employee is in doubt if a conflict exists, they should raise the matter with their manager.

14.2. PROCEDURE

Employees must:

14.2.1. declare any potential, actual or perceived conflicts of interest that exist on becoming employed by Chipunga Farms Limited to management

14.2.2. declare any potential, actual or perceived conflicts of interest that arise or are likely to arise during employment by Chipunga Farms Limited to management

14.2.3. avoid being placed in a situation where there is potential, actual or perceived conflict of interest if at all possible

14.2.4. If an employee declares such an interest, Chipunga Farms Limited shall review the potential areas of conflict with the employee and mutually agree on practical arrangements to resolve the situation.

14.2.5. Employees must disclose any other employment that might cause a conflict of interest with the Chipunga Farms Limited to their manager. Where there are external involvements that do not represent a conflict of interest, these must not affect performance or attendance whilst working at Chipunga Farms Limited. If such involvement does affect performance or attendance it will be considered a conflict of interest.

14.2.6. Employees must not set up or engage in private business or undertake other employment in direct or indirect competition with the Chipunga Farms Limited using knowledge and/or materials gained during the course of employment with Chipunga Farms Limited.

14.2.7. Engaging in other business interests during work hours shall result in strong performance improvement action.

14.2.8. Failure to declare a potential, actual or perceived conflict of interest or to take remedial action agreed with the Chipunga Farms Limited, in a timely manner, may result in performance improvement proceedings including dismissal.